

decree which has been drafted, would be managed by a board composed of representatives of the U.S. and the U.K. The assets, to the extent that the Commission can realize on them, would be used for (a) direct reparations to the U.S. and the U.K. to the extent that we determine it is in our interests to take the type of things which could be realized on such assets, (b) reparations to other United Nations, particularly the Western European nations, in the form of the purchase of locally available products for relief and reconstruction purposes, and (c) the purchase of supplies to be used for essential imports into Germany.

In determining how these assets should be allocated among the three purposes mentioned above, the following should be taken into account. It will be extremely difficult for various reasons to find and realize on these German external assets. In certain cases, a program of realization may conflict with the fundamental purpose of destruction of German economic influence abroad. Where realization is possible, the funds will be in local currencies, and conversion into other foreign exchange will be very difficult. In general, locally available and purchasable products will not be of direct interest to the U.S. The conversion of German external semi-state and private assets into local currencies, to be liquidated by purchases locally of products or services necessary for essential imports into Germany or for relief and rehabilitation needs in Western Europe, will make realization on such assets more feasible and at the same time relieve the burden placed on the U.S. to supply Europe.

German State assets abroad are negligible in value. It is suggested that in the neutrals in which the U.S.S.R. is not represented, these be used by the U.S. or U.K. in accordance with an agreement to be worked out between them, for their foreign diplomatic purposes. In Sweden, these assets could be turned over to the U.S.S.R.